

COMMITTEE ON FINANCE
SENATE AMENDMENTS TO S.B. 1638
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 42-1001, Arizona Revised Statutes, is amended to
3 read:

4 42-1001. Definitions

5 In this title, unless the context otherwise requires:

6 1. "Board" or "state board" means either the state board of tax
7 appeals or the state board of equalization, as applicable.

8 2. "Court" means the tax court or superior court, whichever is
9 applicable.

10 3. "Department" means the department of revenue.

11 4. "Director" means the director of the department.

12 5. "Electronically send" or "send electronically" means to send by
13 either email or the use of an electronic portal.

14 6. "Electronic portal" means a secure location on a website
15 established by the department that requires the receiver to enter a
16 password to access.

17 7. "Email" means:

18 (a) An electronic transmission of a message to an email address.

19 (b) If the message contains confidential information, the
20 electronic transmission of a message to an email address using encryption
21 software that requires the receiver to enter a password before the message
22 can be retrieved and viewed.

23 8. "Internal revenue code" means the United States internal revenue
24 code of 1986, as amended and in effect as of January 1, ~~2025~~ 2026,
25 including those provisions that became effective during ~~2024~~ 2025 with the
26 specific adoption of their retroactive effective dates but excluding all
27 changes to the code enacted after January 1, ~~2025~~ 2026.

1 Sec. 2. Section 43-105, Arizona Revised Statutes, is amended to
2 read:

3 43-105. Internal revenue code; definition; application

4 A. FOR THE PURPOSES OF COMPUTING INCOME TAX PURSUANT TO THIS TITLE,
5 FOR TAXABLE YEARS BEGINNING FROM AND AFTER DECEMBER 31, 2025, "INTERNAL
6 REVENUE CODE" MEANS THE UNITED STATES INTERNAL REVENUE CODE OF 1986, AS
7 AMENDED, IN EFFECT ON JANUARY 1, 2026, INCLUDING THOSE PROVISIONS THAT
8 BECAME EFFECTIVE DURING 2025 WITH THE SPECIFIC ADOPTION OF ALL RETROACTIVE
9 EFFECTIVE DATES, BUT EXCLUDING ANY CHANGES TO THE CODE ENACTED AFTER
10 JANUARY 1, 2026.

11 ~~A.~~ B. For the purposes of computing income tax pursuant to this
12 title, for taxable years beginning from and after December 31, 2024
13 THROUGH DECEMBER 31, 2025, "internal revenue code" means the United States
14 internal revenue code of 1986, as amended, in effect on January 1, 2025,
15 including those provisions that became effective during 2024 with the
16 specific adoption of all retroactive effective dates, ~~but excluding any~~
17 ~~changes to the code enacted after January 1, 2025~~ AND INCLUDING THOSE
18 PROVISIONS [OF PUBLIC LAW 119-21] THAT ARE RETROACTIVELY EFFECTIVE DURING
19 TAXABLE YEARS BEGINNING FROM AND AFTER DECEMBER 31, 2024 THROUGH DECEMBER
20 31, 2025.

21 ~~B.~~ C. For the purposes of computing income tax pursuant to this
22 title, for taxable years beginning from and after December 31, 2023
23 through December 31, 2024, "internal revenue code" means the United States
24 internal revenue code of 1986, as amended, in effect on January 1, 2024,
25 including those provisions that became effective during 2023 with the
26 specific adoption of all retroactive effective dates, and including those
27 provisions [OF PUBLIC LAW 119-21] that are retroactively effective during
28 taxable years beginning from and after December 31, 2023 through December
29 31, 2024.

30 ~~C.~~ D. For the purposes of computing income tax pursuant to this
31 title, for taxable years beginning from and after December 31, 2022
32 through December 31, 2023, "internal revenue code" means the United States
33 internal revenue code of 1986, as amended, in effect on January 1, 2023,
34 including those provisions that became effective during 2022 with the
35 specific adoption of all retroactive effective dates, and including those
36 provisions [OF PUBLIC LAW 119-21] that are retroactively effective during
37 taxable years beginning from and after December 31, 2022 through December
38 31, 2023.

39 ~~D.~~ E. For the purposes of computing income tax pursuant to this
40 title, for taxable years beginning from and after December 31, 2021
41 through December 31, 2022, "internal revenue code" means the United States
42 internal revenue code of 1986, as amended, in effect on January 1, 2022,
43 including those provisions that became effective during 2021 with the
44 specific adoption of all retroactive effective dates, and including those
45 provisions of the chips and science act of 2022 (P.L. 117-167), the
46 inflation reduction act of 2022 (P.L. 117-169)[.] ~~[and]~~ the consolidated
47 appropriations act, 2023 (P.L. 117-328) [AND PUBLIC LAW 119-21] that are

1 retroactively effective during taxable years beginning from and after
2 December 31, 2021 through December 31, 2022.

3 ~~F.~~ F. For the purposes of computing income tax pursuant to this
4 title, for taxable years beginning from and after December 31, 2020
5 through December 31, 2021, "internal revenue code" means the United States
6 internal revenue code of 1986, as amended, in effect on March 11, 2021,
7 including those provisions that became effective during 2020 with the
8 specific adoption of all retroactive effective dates and including those
9 provisions of the PPP extension act of 2021 (P.L. 117-6) and the
10 infrastructure investment and jobs act (P.L. 117-58) that are
11 retroactively effective during taxable years beginning from and after
12 December 31, 2020 through December 31, 2021.

13 ~~F.~~ G. For the purposes of computing income tax pursuant to this
14 title, for taxable years beginning from and after December 31, 2019
15 through December 31, 2020, "internal revenue code" means the United States
16 internal revenue code of 1986, as amended, in effect on January 1, 2020,
17 including those provisions that became effective during 2019 with the
18 specific adoption of all retroactive effective dates, and including those
19 provisions of the families first coronavirus response act (P.L. 116-127),
20 the coronavirus aid, relief, and economic security act (P.L. 116-136), the
21 paycheck protection program flexibility act of 2020 (P.L. 116-142), the
22 consolidated appropriations act, 2021 (P.L. 116-260) and the American
23 rescue plan act of 2021 (P.L. 117-2) that are retroactively effective
24 during taxable years beginning from and after December 31, 2019 through
25 December 31, 2020.

26 ~~G.~~ H. For the purposes of computing income tax pursuant to this
27 title, for taxable years beginning from and after December 31, 2018
28 through December 31, 2019, "internal revenue code" means the United States
29 internal revenue code of 1986, as amended, in effect on January 1, 2019,
30 including those provisions that became effective during 2018 with the
31 specific adoption of all retroactive effective dates, and including those
32 provisions of the taxpayer first act (P.L. 116-25), the further
33 consolidated appropriations act, 2020 (P.L. 116-94), the coronavirus aid,
34 relief, and economic security act (P.L. 116-136) and the consolidated
35 appropriations act, 2021 (P.L. 116-260) that are retroactively effective
36 during taxable years beginning from and after December 31, 2018 through
37 December 31, 2019.

38 ~~H.~~ I. For the purposes of computing income tax pursuant to this
39 title, for taxable years beginning from and after December 31, 2017
40 through December 31, 2018, "internal revenue code" means the United States
41 internal revenue code of 1986, as amended, in effect on January 1, 2018,
42 including those provisions that became effective during 2017 with the
43 specific adoption of all retroactive effective dates, and including those
44 provisions of the bipartisan budget act of 2018 (P.L. 115-123), the
45 consolidated appropriations act, 2018 (P.L. 115-141), the further
46 consolidated appropriations act, 2020 (P.L. 116-94), the coronavirus aid,
47 relief, and economic security act (P.L. 116-136) and the consolidated

1 appropriations act, 2021 (P.L. 116-260) that are retroactively effective
2 during taxable years beginning from and after December 31, 2017 through
3 December 31, 2018.

4 ~~+~~ J. For the purposes of computing income tax pursuant to this
5 title, for taxable years beginning from and after December 31, 2016
6 through December 31, 2017, "internal revenue code" means the United States
7 internal revenue code of 1986, as amended, in effect on January 1, 2017,
8 including those provisions that became effective during 2016 with the
9 specific adoption of all federal retroactive effective dates, and
10 including those provisions of the disaster tax relief and airport and
11 airway extension act of 2017 (P.L. 115-63), the tax cuts and jobs act
12 (P.L. 115-97), the bipartisan budget act of 2018 (P.L. 115-123), the
13 consolidated appropriations act, 2018 (P.L. 115-141), the further
14 consolidated appropriations act, 2020 (P.L. 116-94) and the coronavirus
15 aid, relief, and economic security act (P.L. 116-136) that are
16 retroactively effective during taxable years beginning from and after
17 December 31, 2016 through December 31, 2017.

18 ~~+~~ K. For the purposes of computing income tax pursuant to this
19 title, for taxable years beginning from and after December 31, 2015
20 through December 31, 2016, "internal revenue code" means the United States
21 internal revenue code of 1986, as amended, in effect on January 1, 2016,
22 including those provisions that became effective during 2015 with the
23 specific adoption of all federal retroactive effective dates, and
24 including those provisions of the United States appreciation for olympians
25 and paralympians act of 2016 (P.L. 114-239), the tax cuts and jobs act
26 (P.L. 115-97), the consolidated appropriations act, 2018 (P.L. 115-141),
27 the further consolidated appropriations act, 2020 (P.L. 116-94) and the
28 coronavirus aid, relief, and economic security act (P.L. 116-136) that are
29 retroactively effective during taxable years beginning from and after
30 December 31, 2015 through December 31, 2016.

31 ~~K. For the purposes of computing income tax pursuant to this title,~~
32 ~~for taxable years beginning from and after December 31, 2014 through~~
33 ~~December 31, 2015, "internal revenue code" means the United States~~
34 ~~internal revenue code of 1986, as amended, in effect on January 1, 2015,~~
35 ~~including those provisions that became effective during 2014 with the~~
36 ~~specific adoption of all federal retroactive effective dates, and~~
37 ~~including those provisions of the slain officer family support act of 2015~~
38 ~~(P.L. 114-7), the don't tax our fallen public safety heroes act~~
39 ~~(P.L. 114-14), the surface transportation and veterans health care choice~~
40 ~~improvement act of 2015 (P.L. 114-41), the consolidated appropriations~~
41 ~~act, 2016 (P.L. 114-113), the consolidated appropriations act, 2018~~
42 ~~(P.L. 115-141) and the coronavirus aid, relief, and economic security act~~
43 ~~(P.L. 116-136) that are retroactively effective during taxable years~~
44 ~~beginning from and after December 31, 2014 through December 31, 2015.~~

1 Sec. 3. Section 43-301, Arizona Revised Statutes, is amended to
2 read:

3 43-301. Individual returns: definition

4 A. A full-year or part-year resident individual shall file a return
5 with the department if, for the taxable year, the individual's gross
6 income was greater than the amount of the standard deduction allowed under
7 ~~subsection~~ SECTION 43-1041, subsection A ~~as adjusted for inflation~~
8 ~~pursuant to section 43-1041, subsection H.~~

9 B. A nonresident individual shall file a return with the department
10 if, for the taxable year, the individual's gross income was greater than
11 the amount under subsection A of this section determined for a full-year
12 or part-year resident individual multiplied by the percentage that the
13 individual's Arizona gross income is of the individual's federal adjusted
14 gross income.

15 C. In the case of a husband and wife, the spouse who controls the
16 disposition of or who receives or spends community income as well as the
17 spouse who is taxable on such income is liable for the payment of taxes
18 imposed by this title on such income. If a joint return is filed, the
19 liability for the tax on the aggregate income is joint and several.

20 D. This section applies regardless of whether an individual is
21 required to file a return under the internal revenue code or whether the
22 individual has any federal adjusted gross income for the taxable year.

23 E. For the purposes of this section, "gross income" means gross
24 income as defined in the internal revenue code minus income included in
25 gross income but excluded from taxation under this title.

26 Sec. 4. Section 43-323, Arizona Revised Statutes, is amended to
27 read:

28 43-323. Place and form of filing returns

29 A. All returns required by this title shall be in such a form as
30 the department may from time to time prescribe and shall be filed with the
31 department.

32 B. The department shall prescribe a short form return for
33 individual taxpayers who:

34 1. Are eligible and elect to pay tax based on the optional tax
35 tables pursuant to section 43-1012.

36 2. Elect to claim the optional standard deduction pursuant to
37 section 43-1041, subsection A, but not the increased amount for charitable
38 deductions under section 43-1041, subsection ~~H~~ H.

39 3. Elect not to file for credits against income tax liability other
40 than those contained in sections 43-1072, 43-1072.01, 43-1072.02, 43-1073
41 and 43-1073.01.

42 4. Are not required to add any income under section 43-1021 and do
43 not elect any subtractions under section 43-1022, except for the
44 exemptions allowed under section 43-1023.

45 C. The department may provide a simplified return form for
46 individual taxpayers who:

- 1 1. Are eligible and elect to pay tax based on the optional tax
2 tables pursuant to section 43-1012.
- 3 2. Are residents for the full taxable year.
- 4 3. File as single individuals or married couples filing joint
5 returns under section 43-309.
- 6 4. Are not sixty-five years of age or older or blind at the end of
7 the taxable year.
- 8 5. Claim no exemptions under section 43-1023 for the taxable year.
- 9 6. Elect to claim the optional standard deduction under section
10 43-1041, subsection A, but not the increased amount for charitable
11 deductions under section 43-1041, subsection ~~F~~ H.
- 12 7. Are not required to add any income under section 43-1021 and do
13 not elect to claim any subtractions under section 43-1022 or file for any
14 credits under chapter 10, article 5 of this title, except the credits
15 provided by sections 43-1072.01, 43-1072.02 and 43-1073.
- 16 8. Do not elect to contribute a portion of any tax refund as
17 provided by any provision of chapter 6, article 1 of this title.
18 Notwithstanding any provision of chapter 6, article 1 of this title, a
19 simplified return form under this subsection shall not include any space
20 for the taxpayer to so contribute a portion of a refund.
- 21 D. The department shall prepare blank forms for the returns and
22 furnish them on request. Failure to receive or secure the form does not
23 relieve any taxpayer from making any return required.
- 24 E. An individual income tax preparer who prepares more than ten
25 original income tax returns that are timely filed during any taxable year
26 that begins from and after December 31, 2017 shall file electronically all
27 individual tax returns prepared by that tax preparer, for that taxable
28 year and each subsequent taxable year. An individual income tax preparer
29 may not charge a separate fee to the taxpayer for filing a return using
30 the department's electronic filing program. This subsection does not
31 apply if the taxpayer elects to have the return filed on paper or if the
32 return cannot be filed electronically for reasons outside of the tax
33 preparer's control.
- 34 F. Fiduciary returns, partnership returns, withholding returns and
35 corporate returns shall be filed electronically for taxable years
36 beginning from and after December 31, 2019, or when the department
37 establishes an electronic filing program, whichever is later. Any person
38 who is required to file electronically pursuant to this subsection may
39 apply to the director, on a form prescribed by the department, for an
40 annual waiver from the electronic filing requirement. The director may
41 grant the waiver, which may be renewed for one subsequent year, if any of
42 the following applies:
 - 43 1. The taxpayer has no computer.
 - 44 2. The taxpayer has no internet access.
 - 45 3. Any other circumstance considered to be worthy by the director
46 exists.

1 G. A waiver is not required if the return cannot be electronically
2 filed for reasons beyond the taxpayer's control, including situations in
3 which the taxpayer was instructed by either the internal revenue service
4 or the department of revenue to file by paper.

5 Sec. 5. Section 43-1022, Arizona Revised Statutes, is amended to
6 read:

7 43-1022. Subtractions from Arizona gross income

8 In computing Arizona adjusted gross income, the following amounts
9 shall be subtracted from Arizona gross income:

10 1. The amount of exemptions allowed by section 43-1023.

11 2. Benefits, annuities and pensions in an amount totaling not more
12 than \$2,500 received from one or more of the following:

13 (a) The United States government service retirement and disability
14 fund, the United States foreign service retirement and disability system
15 and any other retirement system or plan established by federal law, except
16 retired or retainer pay of the uniformed services of the United States
17 that qualifies for a subtraction under paragraph 26 of this section.

18 (b) The Arizona state retirement system, the corrections officer
19 retirement plan, the public safety personnel retirement system, the
20 elected officials' retirement plan, an optional retirement program
21 established by the Arizona board of regents under section 15-1628, an
22 optional retirement program established by a community college district
23 board under section 15-1451 or a retirement plan established for employees
24 of a county, city or town in this state.

25 3. A beneficiary's share of the fiduciary adjustment to the extent
26 that the amount determined by section 43-1333 decreases the beneficiary's
27 Arizona gross income.

28 4. Interest income received on obligations of the United States,
29 minus any interest on indebtedness, or other related expenses, and
30 deducted in arriving at Arizona gross income, that were incurred or
31 continued to purchase or carry such obligations.

32 5. The excess of a partner's share of income required to be
33 included under section 702(a)(8) of the internal revenue code over the
34 income required to be included under chapter 14, article 2 of this title.

35 6. The excess of a partner's share of partnership losses determined
36 pursuant to chapter 14, article 2 of this title over the losses allowable
37 under section 702(a)(8) of the internal revenue code.

38 7. The amount allowed by section 43-1025 for contributions during
39 the taxable year of agricultural crops to charitable organizations.

40 8. The portion of any wages or salaries paid or incurred by the
41 taxpayer for the taxable year that is equal to the amount of the federal
42 work opportunity credit, the empowerment zone employment credit, the
43 credit for employer paid social security taxes on employee cash tips and
44 the Indian employment credit that the taxpayer received under sections
45 45A, 45B, 51(a) and 1396 of the internal revenue code.

46 9. The amount of exploration expenses that is determined pursuant
47 to section 617 of the internal revenue code, that has been deferred in a

1 taxable year ending before January 1, 1990 and for which a subtraction has
2 not previously been made. The subtraction shall be made on a ratable
3 basis as the units of produced ores or minerals discovered or explored as
4 a result of this exploration are sold.

5 10. The amount included in federal adjusted gross income pursuant
6 to section 86 of the internal revenue code, relating to taxation of social
7 security and railroad retirement benefits.

8 11. To the extent not already excluded from Arizona gross income
9 under the internal revenue code, compensation received for active service
10 as a member of the reserves, the national guard or the armed forces of the
11 United States, including compensation for service in a combat zone as
12 determined under section 112 of the internal revenue code.

13 12. The amount of unreimbursed medical and hospital costs, adoption
14 counseling, legal and agency fees and other nonrecurring costs of
15 adoption. The subtraction under this paragraph may be taken for the costs
16 that are described in this paragraph and that are incurred in prior years,
17 but the subtraction may be taken only in the year during which the final
18 adoption order is granted. The amount subtracted may not exceed:

19 (a) In taxable years beginning before December 31, 2025, \$3,000. In
20 the case of a husband and wife who file separate returns, the subtraction
21 may be taken by either taxpayer or may be divided between them, but the
22 total subtractions allowed both husband and wife may not exceed \$3,000.

23 (b) In taxable years beginning from and after December 31, 2025,
24 \$5,000 for a single individual or head of household.

25 (c) For taxable years beginning from and after December 31, 2025,
26 \$10,000 for a married couple filing a joint return. In the case of a
27 husband and wife who file separate returns, the subtraction may be taken
28 by either taxpayer or may be divided between them, but the total
29 subtractions allowed both husband and wife may not exceed \$10,000.

30 13. The amount authorized by section 43-1027 for the taxable year
31 relating to qualified wood stoves, wood fireplaces or gas fired
32 fireplaces.

33 14. The amount by which a net operating loss carryover or capital
34 loss carryover allowable pursuant to section 43-1029, subsection F exceeds
35 the net operating loss carryover or capital loss carryover allowable
36 pursuant to section 1341(b)(5) of the internal revenue code.

37 15. Any amount of qualified educational expenses that is
38 distributed from a qualified state tuition program determined pursuant to
39 section 529 of the internal revenue code and that is included in income in
40 computing federal adjusted gross income.

41 16. Any item of income resulting from an installment sale that has
42 been properly subjected to income tax in another state in a previous
43 taxable year and that is included in Arizona gross income in the current
44 taxable year.

45 17. For property placed in service:

46 (a) In taxable years beginning before December 31, 2012, an amount
47 equal to the depreciation allowable pursuant to section 167(a) of the

1 internal revenue code for the taxable year computed as if the election
2 described in section 168(k) of the internal revenue code had been made for
3 each applicable class of property in the year the property was placed in
4 service.

5 (b) In taxable years beginning from and after December 31, 2012
6 through December 31, 2013, an amount determined in the year the asset was
7 placed in service based on the calculation in subdivision (a) of this
8 paragraph. In the first taxable year beginning from and after
9 December 31, 2013, the taxpayer may elect to subtract the amount necessary
10 to make the depreciation claimed to date for the purposes of this title
11 the same as it would have been if subdivision (c) of this paragraph had
12 applied for the entire time the asset was in service. Subdivision (c) of
13 this paragraph applies for the remainder of the asset's life. If the
14 taxpayer does not make the election under this subdivision, subdivision
15 (a) of this paragraph applies for the remainder of the asset's life.

16 (c) In taxable years beginning from and after December 31, 2013
17 through December 31, 2015, an amount equal to the depreciation allowable
18 pursuant to section 167(a) of the internal revenue code for the taxable
19 year as computed as if the additional allowance for depreciation had been
20 ten percent of the amount allowed pursuant to section 168(k) of the
21 internal revenue code.

22 (d) In taxable years beginning from and after December 31, 2015
23 through December 31, 2016, an amount equal to the depreciation allowable
24 pursuant to section 167(a) of the internal revenue code for the taxable
25 year as computed as if the additional allowance for depreciation had been
26 fifty-five percent of the amount allowed pursuant to section 168(k) of the
27 internal revenue code.

28 (e) In taxable years beginning from and after December 31, 2016, an
29 amount equal to the depreciation allowable pursuant to section 167(a) of
30 the internal revenue code for the taxable year as computed as if the
31 additional allowance for depreciation had been the full amount allowed
32 pursuant to section 168(k) of the internal revenue code.

33 18. With respect to property that is sold or otherwise disposed of
34 during the taxable year by a taxpayer that complied with section 43-1021,
35 paragraph 11 with respect to that property, the amount of depreciation
36 that has been allowed pursuant to section 167(a) of the internal revenue
37 code to the extent that the amount has not already reduced Arizona taxable
38 income in the current or prior taxable years.

39 19. The amount contributed during the taxable year to college
40 savings plans established pursuant to section 529 of the internal revenue
41 code on behalf of the designated beneficiary to the extent that the
42 contributions were not deducted in computing federal adjusted gross
43 income. The amount subtracted may not exceed:

44 (a) \$2,000 per beneficiary for a single individual or a head of
45 household.

46 (b) \$4,000 per beneficiary for a married couple filing a joint
47 return. In the case of a husband and wife who file separate returns, the

1 subtraction may be taken by either taxpayer or may be divided between
2 them, but the total subtractions allowed both husband and wife may not
3 exceed \$4,000 per beneficiary.

4 20. The portion of the net operating loss carryforward that would
5 have been allowed as a deduction in the current year pursuant to section
6 172 of the internal revenue code if the election described in section
7 172(b)(1)(H) of the internal revenue code had not been made in the year of
8 the loss that exceeds the actual net operating loss carryforward that was
9 deducted in arriving at federal adjusted gross income. This subtraction
10 only applies to taxpayers who made an election under section 172(b)(1)(H)
11 of the internal revenue code as amended by section 1211 of the American
12 recovery and reinvestment act of 2009 (P.L. 111-5) or as amended by
13 section 13 of the worker, homeownership, and business assistance act of
14 2009 (P.L. 111-92).

15 21. For taxable years beginning from and after December 31, 2013,
16 the amount of any net capital gain included in federal adjusted gross
17 income for the taxable year derived from investment in a qualified small
18 business as determined by the Arizona commerce authority pursuant to
19 section 41-1518.

20 22. An amount of any net long-term capital gain included in federal
21 adjusted gross income for the taxable year that is derived from an
22 investment in an asset acquired after December 31, 2011, as follows:

23 (a) For taxable years beginning from and after December 31, 2012
24 through December 31, 2013, ten percent of the net long-term capital gain
25 included in federal adjusted gross income.

26 (b) For taxable years beginning from and after December 31, 2013
27 through December 31, 2014, twenty percent of the net long-term capital
28 gain included in federal adjusted gross income.

29 (c) For taxable years beginning from and after December 31, 2014,
30 twenty-five percent of the net long-term capital gain included in federal
31 adjusted gross income. For the purposes of this paragraph, a transferee
32 that receives an asset by gift or at the death of a transferor is
33 considered to have acquired the asset when the asset was acquired by the
34 transferor. If the date an asset is acquired cannot be verified, a
35 subtraction under this paragraph is not allowed.

36 23. If an individual is not claiming itemized deductions pursuant
37 to section 43-1042, the amount of premium costs for long-term care
38 insurance, as defined in section 20-1691.

39 24. The amount of eligible access expenditures paid or incurred
40 during the taxable year to comply with the requirements of the Americans
41 with disabilities act of 1990 (P.L. 101-336) or title 41, chapter 9,
42 article 8 as provided by section 43-1024.

43 25. For taxable years beginning from and after December 31, 2017,
44 the amount of any net capital gain included in Arizona gross income for
45 the taxable year that is derived from the exchange of one kind of legal
46 tender for another kind of legal tender. For the purposes of this
47 paragraph:

1 (a) "Legal tender" means a medium of exchange, including specie,
2 that is authorized by the United States Constitution or Congress to pay
3 debts, public charges, taxes and dues.

4 (b) "Specie" means coins having precious metal content.

5 26. Benefits, annuities and pensions received as retired or
6 retainer pay of the uniformed services of the United States in amounts as
7 follows:

8 (a) For taxable years through December 31, 2018, an amount totaling
9 not more than \$2,500.

10 (b) For taxable years beginning from and after December 31, 2018
11 through December 31, 2020, an amount totaling not more than \$3,500.

12 (c) For taxable years beginning from and after December 31, 2020,
13 the full amount received.

14 27. For taxable years beginning from and after December 31, 2020,
15 the amount contributed during the taxable year to an achieving a better
16 life experience account established pursuant to section 529A of the
17 internal revenue code on behalf of the designated beneficiary to the
18 extent that the contributions were not deducted in computing federal
19 adjusted gross income. The amount subtracted may not exceed:

20 (a) \$2,000 per beneficiary for a single individual or a head of
21 household.

22 (b) \$4,000 per beneficiary for a married couple filing a joint
23 return. In the case of a husband and wife who file separate returns, the
24 subtraction may be taken by either taxpayer or may be divided between
25 them, but the total subtractions allowed both husband and wife may not
26 exceed \$4,000 per beneficiary.

27 28. For taxable years beginning from and after December 31, 2020,
28 Arizona small business gross income but only if an individual taxpayer has
29 elected to separately report and pay tax on the taxpayer's Arizona small
30 business adjusted gross income on the Arizona small business income tax
31 return.

32 29. To the extent not already excluded from Arizona gross income
33 under the internal revenue code, the value of virtual currency and
34 non-fungible tokens the taxpayer received pursuant to an airdrop at the
35 time of the airdrop. This paragraph may not be interpreted as providing a
36 subtraction for any appreciation in value that occurs from holding the
37 virtual currency after the initial receipt of the airdrop. For the
38 purposes of this paragraph:

39 (a) "Airdrop" means the receipt of virtual currency through a means
40 of distribution of virtual currency to the distributed ledger addresses of
41 multiple taxpayers.

42 (b) "Non-fungible token" has the same meaning prescribed in section
43 43-1028.

44 (c) "Virtual currency" has the same meaning prescribed in section
45 43-1028.

1 30. The amount allowed as a subtraction by section 43-1028 for gas
2 fees not already included in the taxpayer's virtual currency or
3 non-fungible token basis.

4 31. TO THE EXTENT NOT ALREADY EXCLUDED FROM ARIZONA GROSS INCOME
5 UNDER THE INTERNAL REVENUE CODE, THE AMOUNT DEDUCTED FOR A QUALIFIED
6 INDIVIDUAL UNDER SECTION 151(d)(5)(C) OF THE INTERNAL REVENUE CODE.

7 32. TO THE EXTENT NOT ALREADY EXCLUDED FROM ARIZONA GROSS INCOME
8 UNDER THE INTERNAL REVENUE CODE, THE AMOUNT DEDUCTED FOR QUALIFIED
9 PASSENGER VEHICLE LOAN INTEREST UNDER SECTION 163(h)(4) OF THE INTERNAL
10 REVENUE CODE.

11 33. TO THE EXTENT NOT ALREADY EXCLUDED FROM ARIZONA GROSS INCOME
12 UNDER THE INTERNAL REVENUE CODE, THE AMOUNT OF QUALIFIED TIPS RECEIVED
13 DURING THE TAXABLE YEAR THAT IS DEDUCTED UNDER SECTION 224 OF THE INTERNAL
14 REVENUE CODE.

15 34. TO THE EXTENT NOT ALREADY EXCLUDED FROM ARIZONA GROSS INCOME
16 UNDER THE INTERNAL REVENUE CODE, THE AMOUNT OF QUALIFIED OVERTIME
17 COMPENSATION RECEIVED DURING THE TAXABLE YEAR THAT IS DEDUCTED UNDER
18 SECTION 225 OF THE INTERNAL REVENUE CODE.

19 Sec. 6. Section 43-1041, Arizona Revised Statutes, is amended to
20 read:

21 43-1041. Optional standard deduction

22 A. A taxpayer may elect to take a standard deduction ~~as follows:~~

23 ~~1. In the case of a single person or a married person filing~~
24 ~~separately, the standard deduction is \$12,200, subject to subsection H of~~
25 ~~this section.~~

26 ~~2. In the case of a single person who is a head of a household, the~~
27 ~~standard deduction is \$18,350, subject to subsection H of this section.~~

28 ~~3. In the case of a married couple filing a joint return, the~~
29 ~~standard deduction is \$24,400, subject to subsection H of this section.~~

30 THE AMOUNT OF THE STANDARD DEDUCTION IS THE AMOUNT OF THE FEDERAL BASIC
31 STANDARD DEDUCTION PURSUANT TO SECTION 63 OF THE INTERNAL REVENUE CODE FOR
32 THE TAXPAYER'S FILING STATUS IN EFFECT ON JANUARY 1, 2026.

33 B. The standard deduction provided for in subsection A of this
34 section is in lieu of all itemized deductions allowed by section 43-1042,
35 which are to be subtracted from Arizona adjusted gross income in computing
36 taxable income.

37 C. The standard deduction is allowed if the taxpayer so
38 elects. The election is made by the taxpayer claiming on the tax return
39 the amount provided for in this section in lieu of the itemized deductions
40 allowed under section 43-1042. Electing to file a short form return or a
41 simplified return that does not allow itemized deductions to be claimed is
42 considered to be an election to claim the standard deduction.

43 D. In the case of a husband and wife, the standard deduction
44 provided for in subsection A of this section is not allowed to either if
45 the taxable income of one of the spouses is determined without regard to
46 the standard deduction.

1 E. The standard deduction provided for by subsection A of this
2 section is not allowed in the case of a taxable year of less than twelve
3 months on account of a change in the accounting period.

4 F. Except as provided in subsection G of this section, a change of
5 an election to take, or not to take, the standard deduction for any
6 taxable year may be made after the filing of the return for that year.

7 G. A taxpayer is not allowed to change an election to take, or not
8 to take, the standard deduction if:

9 1. The spouse of the taxpayer filed a separate return for any
10 taxable year corresponding, for the purposes of subsection D of this
11 section, to the taxable year of the taxpayer unless both of the following
12 apply:

13 (a) The spouse makes a change of election with respect to the
14 standard deduction for the taxable year covered in the separate return
15 consistent with the change of election sought by the taxpayer.

16 (b) The taxpayer and spouse consent in writing to the assessment,
17 within such a period as may be agreed on with the department, of any
18 deficiency, to the extent attributable to the change of election, even
19 though at the time of filing the consent the assessment of the deficiency
20 would otherwise be prevented by the operation of any law or rule of law.

21 2. The tax liability of the taxpayer or the taxpayer's spouse for
22 the taxable year has been compromised.

23 ~~H. For each taxable year beginning from and after December 31,~~
24 ~~2019, the department shall adjust the dollar amounts prescribed by~~
25 ~~subsection A, paragraphs 1, 2 and 3 of this section for inflation in the~~
26 ~~same manner in which the federal basic standard deduction is adjusted for~~
27 ~~inflation pursuant to section 63 of the internal revenue code.~~

28 ~~I. For taxable years beginning from and after December 31, 2018,~~

29 H. The standard deduction allowed under subsection A of this
30 section shall be increased AS FOLLOWS:

31 1. FOR TAXABLE YEARS BEGINNING FROM AND AFTER DECEMBER 31, 2018
32 THROUGH DECEMBER 31, 2025, by the amount equal to twenty-five percent of
33 the total amount of a taxpayer's charitable deductions that would have
34 been allowed if the taxpayer elected to claim itemized deductions under
35 section 43-1042 rather than elect the standard deduction. For taxable
36 years beginning from and after December 31, 2021 THROUGH DECEMBER 31,
37 2025, the department shall adjust the percentage prescribed in this
38 ~~subsection~~ PARAGRAPH according to the average annual change in the
39 metropolitan Phoenix consumer price index published by the United States
40 department of labor, bureau of labor statistics, except that the adjusted
41 percentage may not exceed one hundred percent. The revised percentage
42 shall be raised to the nearest whole percent and may not be revised below
43 the amounts prescribed in the prior taxable year.

1 2. FOR TAXABLE YEARS BEGINNING FROM AND AFTER DECEMBER 31, 2025, BY
2 AN AMOUNT EQUAL TO THE TOTAL AMOUNT OF A TAXPAYER'S CHARITABLE
3 CONTRIBUTIONS AS DEFINED IN SECTION 170(c) OF THE INTERNAL REVENUE
4 CODE. THE INCREASE ALLOWED BY THIS PARAGRAPH MAY NOT EXCEED:

5 (a) IN THE CASE OF A SINGLE PERSON OR A MARRIED PERSON FILING
6 SEPARATELY, \$1,000.

7 (b) IN THE CASE OF A MARRIED COUPLE FILING A JOINT RETURN, \$2,000.

8 <<Sec. 7. Section 43-1122, Arizona Revised Statutes, is amended to
9 read:

10 43-1122. Subtractions from Arizona gross income; corporations

11 In computing Arizona taxable income for a corporation, the following
12 amounts shall be subtracted from Arizona gross income:

13 1. The excess of a partner's share of income required to be
14 included under section 702(a)(8) of the internal revenue code over the
15 income required to be included under chapter 14, article 2 of this title.

16 2. The excess of a partner's share of partnership losses determined
17 pursuant to chapter 14, article 2 of this title over the losses allowable
18 under section 702(a)(8) of the internal revenue code.

19 3. The amount allowed by section 43-1025 for contributions during
20 the taxable year of agricultural crops to charitable organizations.

21 4. The portion of any wages or salaries paid or incurred by the
22 taxpayer for the taxable year that is equal to the amount of the federal
23 work opportunity credit, the empowerment zone employment credit, the
24 credit for employer paid social security taxes on employee cash tips and
25 the Indian employment credit that the taxpayer received under sections
26 45A, 45B, 51(a) and 1396 of the internal revenue code.

27 5. With respect to property that is sold or otherwise disposed of
28 during the taxable year by a taxpayer that complied with section 43-1121,
29 paragraph 4 with respect to that property, the amount of depreciation that
30 has been allowed pursuant to section 167(a) of the internal revenue code
31 to the extent that the amount has not already reduced Arizona taxable
32 income in the current taxable year or prior taxable years.

33 6. With respect to a financial institution as defined in section
34 6-101, expenses and interest relating to tax-exempt income disallowed
35 pursuant to section 265 of the internal revenue code.

36 7. Dividends received from another corporation owned or controlled
37 directly or indirectly by a recipient corporation. For the purposes of
38 this paragraph, "control" means direct or indirect ownership or control of
39 fifty percent or more of the voting stock of the payor corporation by the
40 recipient corporation. Dividends shall have the meaning provided in
41 section 316 of the internal revenue code. This subtraction shall apply
42 without regard to section 43-961, paragraph 2 and article 4 of this
43 chapter.

44 8. Interest income received on obligations of the United States.

45 9. The amount of dividend income from foreign corporations. For
46 the purposes of this paragraph, gross up income as described in section 78
47 of the internal revenue code, ~~[global intangible low-taxed]~~ [IHE] income

1 ~~[as defined]~~ [DESCRIBED] in section 951A of the internal revenue code and
2 subpart F income as defined in section 952 of the internal revenue code
3 shall be considered foreign dividends.

4 10. The amount of net operating loss allowed by section 43-1123.

5 11. The amount of any state income tax refunds received that were
6 included as income in computing federal taxable income.

7 12. The amount of expense recapture included in income pursuant to
8 section 617 of the internal revenue code for mine exploration expenses.

9 13. The amount of deferred exploration expenses allowed by section
10 43-1127.

11 14. The amount of exploration expenses related to the exploration
12 of oil, gas or geothermal resources, computed in the same manner and on
13 the same basis as a deduction for mine exploration pursuant to section 617
14 of the internal revenue code. This computation is subject to the
15 adjustments contained in section 43-1121, paragraph 10 and paragraphs 12
16 and 13 of this section relating to exploration expenses.

17 15. The amortization of pollution control devices allowed by
18 section 43-1129.

19 16. The amount of amortization of the cost of child care facilities
20 pursuant to section 43-1130.

21 17. The amount of income from a domestic international sales
22 corporation required to be included in the income of its shareholders
23 pursuant to section 995 of the internal revenue code.

24 18. The income of an insurance company that is exempt under section
25 43-1201 to the extent that it is included in computing Arizona gross
26 income on a consolidated return pursuant to section 43-947.

27 19. The amount by which a capital loss carryover allowable pursuant
28 to section 43-1130.01, subsection F exceeds the capital loss carryover
29 allowable pursuant to section 1341(b)(5) of the internal revenue code.

30 20. An amount equal to the depreciation allowable pursuant to
31 section 167(a) of the internal revenue code for the taxable year computed
32 as if the election described in section 168(k)(7) of the internal revenue
33 code had been made for each applicable class of property in the year the
34 property was placed in service.

35 21. The amount of eligible access expenditures paid or incurred
36 during the taxable year to comply with the requirements of the Americans
37 with disabilities act of 1990 (P.L. 101-336) or title 41, chapter 9,
38 article 8 as provided by section 43-1124.

39 22. For taxable years beginning from and after December 31, 2017,
40 the amount of any net capital gain included in Arizona gross income for
41 the taxable year that is derived from the exchange of one kind of legal
42 tender for another kind of legal tender. For the purposes of this
43 paragraph:

44 (a) "Legal tender" means a medium of exchange, including specie,
45 that is authorized by the United States Constitution or Congress to pay
46 debts, public charges, taxes and dues.

47 (b) "Specie" means coins having precious metal content.

1 23. With respect to a public service corporation operating a water
2 system or sewage disposal facility, the amount of monies or property
3 received as a contribution in aid of construction. For the purposes of
4 this paragraph:

5 (a) "Contribution in aid of construction" means any amount of
6 monies or other property contributed to a public service corporation that
7 provides water or sewage disposal services to the extent that the purpose
8 of the contribution is to provide for expanding, improving or replacing
9 the public service corporation's water system or sewage disposal
10 facilities, including any amount of monies or other property contributed
11 to a public service corporation for a water system or sewage disposal
12 facility subject to a contingent obligation to repay the amount, in whole
13 or in part, to the contributor.

14 (b) "Public service corporation" means a public service corporation
15 as defined in article XV, section 2, Constitution of Arizona, that is
16 regulated by the corporation commission.>>

17 Sec. 8. Retroactivity

18 This act applies retroactively to taxable years beginning from and
19 after December 31, 2024.

20 Enroll and engross to conform

21 Amend title to conform

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